COURSE

OCR A Level Business (H431)

Growth and economies of scale

Operations · Productive efficiency: Economies and diseconomies of scale

Revision for Operations: each firm works it out on its own deals.

Class	Topic
OCR A Level Business (H431 / H436)	**Growth and economies of scale**

THE LESSON

Setup					3 min
Round 1					Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions	**Deals**	TASK 1 **Unit cost per car**	TASK 2 **Why unit cost rose**		
Round 2					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	TASK 3 **Rank unit cost fall**	TASK 4 **Unit cost, doubled**	**B2B deal**	
Round 3					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	TASK 5 **Stop growing?**	TASK 6 **Fixed cost spread %**	**B2B deal**	
Final questions					3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

A month of sales.

Unit cost: cost per car sold?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Fixed costs, a month	**£10,800**
Variable costs, a month	**£298,260**
Cars sold a month	**18 cars**

METHOD

Unit cost = (fixed costs + variable costs) ÷ cars sold

(£10,800 + £298,260) ÷ 18 = £17,170

Why: Unit cost is all the costs shared between the cars.

Task 2

ROUND 1

After a takeover, your cost per car rose.

Which two diseconomies are most likely?

PICK TWO

- ○ Bulk-buying discounts
- ○ Cheaper finance
- ○ Fixed costs spread wider
- ✔ **Poor communication across sites**
- ✔ **Staff less motivated**

Why: Big firms can lose control and morale; the other three cut costs.

Task 3

ROUND 2

Three plans and what they do to cost per car.

Order by % fall in cost per car, biggest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£2,000 down to £1,500**
2. **£5,000 down to £4,000**
3. **£8,000 down to £6,800**

Why: Falls of 25%, 20%, 15%: the biggest fall in pounds is the smallest %.

Task 4

ROUND 2

Selling twice as many.

Cost per car if sales double?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Fixed costs, a month	**£16,000**
Variable cost per car	**£13,550**
Cars sold now	**16 cars**

METHOD

Cost per van = fixed costs ÷ (2 × vans) + variable cost per van

£16,000 ÷ 32 + £13,550 = £14,050

Why: The fixed costs are shared by 32 cars, not 16.

Task 5

ROUND 3

Each new branch cut your cost per car less, and the last one raised it.

What should you do next, and why?

PICK A OR B AND GIVE A REASON

- ○ Keep growing
- ✔ **Stop growing for now**

Why: Rising cost per car is a sign of diseconomies of scale.

Task 6

ROUND 3

Spread the fixed costs.

Fall in cost per car, to the nearest %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Fixed costs, a month	**£34,020**
Variable cost per car	**£270**
Cars sold now	**14 cars**
Cars sold after growth	**18 cars**

METHOD

Fall % = fall in fixed cost per car ÷ fixed cost per car now × 100

£2,700 → £2,160; fall 20%

Why: The fixed costs are shared by more cars after growth.

Final questions

6
questions for each pupil

109
Level 3 Business questions

1
of them on growth and economies of scale

The game draws 6 of the 109 Level 3 questions; these 1 are about growth and economies of scale.

1 A group buys the next town's family dealership, keeping its staff and site. Which type of growth is this, and its main risk?

External, and the risk is merging two ways of working.